

2 AROON OSCILLATORS

Aroon Oscillator is a technical oscillator that focuses on the price movement that represents the direction of the trend in the prices besides focusing on the strength of the movement. In the A/D indicator, we used volume to understand the strength of the trend. However, in the case of Aroon oscillator, we will use the time between consecutive highs and consecutive lows to understand the strength of the trend. Aroon oscillator is built with the assumption that strong up-trends will create new highs very regularly and strong down-trends will create new lows frequently.

A statistical operation is conducted to come up with a value of Aroon up and Aroon down which shows the strength of uptrend and downtrend respectively. The difference between Aroon up and Aroon down forms the Aroon oscillator. So, in simple terms, Aroon oscillator is the difference between the strength of the uptrend and strength of the downtrend. The oscillator moves within the range of 100 and -100. A positive number in oscillator means that the uptrend is more powerful than the downtrend and a negative number means that the downtrend is more valuable than the uptrend.

